FME 1000

Midterm
Study Guide by Subject

Fall 2026 · Sections 6 and 9

Entrepreneurship + Organizational Behavior

A subject-organized guide to all 13 sessions, with a full topic tree, key distinctions, Knittr applications, case-answer structure, and rapid recall.

Prepared from the course study guide, slides, readings, assignments, and class activities.

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Fall 2026 · Sections 6 and 9 · Entrepreneurship and Organizational Behavior

Organized around the 13 sessions on the midterm subject list. Use each session as a separate study unit, then practice connecting subjects in the Knittr and OB cases.

1. How to use this guide

The exam lasts 90 minutes and uses short essays. About half covers entrepreneurship through the Knittr case. The other half applies organizational behavior and team-leadership concepts to new mini-cases.

Definitions are the starting point. A strong answer also identifies evidence in the case, explains why the evidence matters, and recommends a specific response.

Use C-E-A-R for most answers:

1. **Concept:** Name and briefly define the most useful course concept.
2. **Evidence:** Point to a specific fact, action, or quotation from the case.
3. **Analysis:** Explain why that evidence reveals the problem or opportunity.
4. **Response and result:** Recommend an observable action and explain what it should improve.

> *This situation shows **[concept]**, which means **[brief definition]**. We can see it when **[case evidence]**. This matters because **[analysis]**. The team should **[specific response]**, which would **[expected result]**.*

Fast exam workflow

- Circle the action words: explain, compare, recommend, diagnose, or apply.
- Mark two or three facts before choosing a concept.
- Use the smallest number of concepts that fully answers the question.
- Spend more space applying the concept than defining it.
- End with an action someone could actually take.
- Number your response if the prompt asks for several items.

Subject map

Area	Session	Subject
Joint	1	Kickoff and Entrepreneurial Thought and Action
Entrepreneurship	3	Problem Solving and Idea Generation
Entrepreneurship	5	Empathy and Design Thinking
Entrepreneurship	7	Value Proposition and Target Market
Entrepreneurship	8	Prototyping
Joint	9	Rocket Pitch Presentations
Organizational Behavior	2	Culture and Norms
Organizational Behavior	4	Emotional Intelligence
Organizational Behavior	6	Positive Teaming and Psychological Safety
Organizational Behavior	10	Diversity of Thought and Practice: DiSC
Entrepreneurship	11	Opportunity Evaluation
Entrepreneurship	12	Market Research
Organizational Behavior	13	Inclusion and Identity

Topic tree: what connects to what

Use this tree to see the structure of the course before memorizing details. For each branch, know the definition, recognize it in a case, and recommend an action.

Joint foundation

- **Session 1: Entrepreneurial Thought and Action**
  - **Prediction logic:** Use planning and expected return when the future is reasonably knowable.
  - **Creation or effectual logic:** Act under uncertainty, learn, and adjust the path.
  - **Means at hand:** Begin with who you are, what you know, and whom you know.
  - **Affordable loss:** Risk only what the team can afford to lose on the next step.
  - **Learning loop:** Act, observe results, involve others, and revise.
  - **Major connection:** This logic drives research, prototypes, and opportunity tests.
- **Session 9: Rocket Pitch**
  - **Customer:** Name the specific group being served.
  - **Problem:** Show an important, evidence-based pain or job.
  - **Solution:** Explain the focused response to that problem.
  - **Value proposition:** State the benefit, meaningful difference, and reason to believe.
  - **Delivery:** Be concise, divide team roles clearly, and make smooth handoffs.
  - **Feedback:** Revise the pitch's reasoning as well as its presentation.

Entrepreneurship

- **Session 3: Problem Solving and Idea Generation**
  - **Idea versus opportunity:** An idea is a possibility; an opportunity joins a real need to a desirable, feasible, and viable response.
  - **Problem identification:** Start with the customer's job, pain, context, and current workaround.
  - **Brainstorming:** Frame a “How might we?” question, generate many ideas, defer judgment, then cluster and evaluate.
  - **Divergence and convergence:** Expand the options first; narrow them only after variety exists.
  - **AI's role:** Use AI to generate or combine possibilities, then verify its output with people and evidence.
- **Session 5: Empathy and Design Thinking**
  - **Empathy:** Understand the customer's experience without assuming or immediately solving it.
  - **Observation:** Watch behavior, context, friction, and workarounds.
  - **Discovery interviews:** Ask open, neutral questions about specific past experiences.
  - **Customer evidence:** Record needs, frustrations, behaviors, contradictions, and exact examples.
  - **Design-thinking cycle:** Empathize, define, ideate, prototype, test, and iterate.
- **Session 7: Value Proposition and Target Market**
  - **Customer versus consumer:** Identify who pays, decides, and uses.
  - **Segmentation:** Group people by meaningful needs, behavior, traits, or context.
  - **Target market:** Choose one specific segment to serve first.
  - **Persona:** Summarize repeated research patterns, not stereotypes or decorative details.
  - **Value proposition:** Resonate with a need, differentiate from alternatives, and substantiate the promise.
  - **Business model:** Explain how the venture creates, delivers, and captures value.
- **Session 8: Prototyping**
  - **Riskiest assumption:** Name what must be true for the idea to work.
  - **Prototype:** Build the smallest credible representation that can answer a question.
  - **Behavioral test:** Decide what users must do for the evidence to support the assumption.

    - **Feedback:** Observe behavior and ask neutral follow-up questions.
    - **Iteration:** Use results to change the next version.
    - **MVP:** Create the smallest usable version that delivers and tests value.
- **Session 11: Opportunity Evaluation**
    - **Desirability:** Do target customers care enough to use, switch, or pay?
    - **Feasibility:** Can the team and its partners build and deliver the offer reliably?
    - **Viability:** Can revenue, price, demand, costs, and margins sustain the model?
    - **Competition and alternatives:** Include direct rivals, indirect substitutes, workarounds, and doing nothing.
    - **Resources and risk:** Identify capability gaps and test the most dangerous assumptions first.
    - **Impact:** Consider financial, social, and environmental effects.
- **Session 12: Market Research**
    - **Primary versus secondary:** Collect new evidence for this decision or use existing evidence collected by others.
    - **Qualitative versus quantitative:** Explore how and why, then measure how many, how often, or how much.
    - **Methods:** Know when to use interviews, observation, focus groups, surveys, and experiments.
    - **Sampling:** Recruit people who represent the decision; recognize convenience bias.
    - **Question design:** Avoid leading, double-barreled, vague, or purely hypothetical questions.
    - **Analysis:** Separate what people said or did from the team's interpretation; look for patterns and disconfirming evidence.
    - **Market decisions:** Connect the evidence to product, price, place, promotion, and revenue drivers.

Organizational Behavior

- **Session 2: Culture and Norms**
    - **Culture:** Shared values, beliefs, assumptions, and repeated behavior that show how work is really done.
    - **Rules versus norms:** Rules are explicit; norms are informal expectations reinforced by the group.
    - **Visible versus invisible:** Notice artifacts and routines as well as hidden beliefs about status, conflict, and effort.
    - **Norm formation:** Repeated and rewarded behavior becomes the real standard.
    - **Team charter:** Make purpose, roles, decisions, meetings, conflict, and accountability observable.
- **Session 4: Emotional Intelligence**
    - **Self-awareness:** Recognize your emotions, triggers, strengths, and limits.
    - **Self-management:** Pause and choose a useful response instead of acting on the first impulse.
    - **Social awareness:** Read other people's emotions, needs, and perspectives.
    - **Relationship management:** Communicate, influence, and repair conflict using that awareness.
    - **Trust:** Diagnose authenticity, logic, and empathy.
- **Session 6: Positive Teaming and Psychological Safety**
    - **Team effectiveness:** Evaluate performance, learning and adaptability, and member well-being and growth.
    - **Psychological safety:** Make questions, dissent, uncertainty, and error reporting safe without lowering standards.
    - **Trust and constructive conflict:** Debate tasks and evidence without attacking status or identity.
    - **Failure versus mistake:** Learn from a thoughtful test of uncertainty; correct preventable process violations.
    - **Process gains and losses:** Look for shared knowledge and error checking, or domination, loafing, fear, and poor coordination.
    - **Leadership levers:** Improve team design, launch or relaunch, and ongoing process management.
- **Session 10: Diversity of Thought and Practice — DiSC**
    - **D — Dominance:** Direct, fast, and results-focused; lead with the outcome and next action.
    - **I — Influence:** Energetic and social; invite ideas, then confirm details and commitments.
    - **S — Steadiness:** Patient and supportive; explain changes and allow time to respond.
    - **C — Conscientiousness:** Analytical and careful; provide evidence, structure, and standards.

  - **Flexing:** Adapt communication to the person and situation rather than labeling ability.
  - **Diversity of thought:** Use different knowledge and perspectives to reduce blind spots and groupthink.
- **Session 13: Inclusion and Identity**
  - **Personal and social identity:** Understand how experiences and group membership can shape perspective and access.
  - **Visible and invisible differences:** Do not assume which identities matter or require disclosure.
  - **Diversity:** Ask who is present.
  - **Inclusion:** Ask whose voice and information influence the decision.
  - **Belonging:** Ask who feels accepted as a legitimate member of the group.
  - **Bias and assumptions:** Examine patterns in credit, interruption, standards, opportunity, and outcomes.
  - **Faultlines:** Reconnect subgroups through shared goals, cross-group work, and transparent decisions.
  - **Inclusive leadership:** Distribute airtime, invite input before anchoring, rotate meaningful roles, and explain decisions.

The course-wide chain

> *Understand people → define a meaningful problem → generate options → choose a target and value proposition → prototype the riskiest assumption → collect evidence → evaluate desirability, feasibility, and viability → communicate the opportunity clearly → build a team culture in which different people can contribute and learn.*

2. Joint sessions

Session 1: Kickoff and Entrepreneurial Thought and Action

Core idea

Entrepreneurial Thought and Action, or ET&A, helps entrepreneurs choose how to act when the future is uncertain. It combines prediction logic with creation or effectual logic, often called CreAction in the course.

Prediction or causal logic	Creation or effectual logic
Best when the future is more knowable	Best when the future is uncertain
Plan before acting	Act in small steps and learn
Focus on expected return	Limit acceptable loss
Secure the required resources first	Begin with what is already at hand
Follow a chosen path	Adjust the path as evidence changes
Avoid failure	Use intelligent failure as information
Compete for existing value	Collaborate to create new possibilities

CreAction sequence

1. Start with who you are, what you know, and whom you know.
2. Take a small action that you can afford to lose.
3. Observe the good, bad, and unexpected results.
4. Bring in people or resources that can help.
5. Adjust the next action based on what you learned.

Knittr application

Kayden uses prediction logic when he discusses investors, a complete website, inventory, and a warehouse before proving a customer problem. Under uncertainty, a better step would be to manually make a project recommendation and compatible shopping list for several actual knitters. That experiment uses resources at hand, limits loss, and produces information.

Common mistake

CreAction does not mean acting randomly or refusing to plan. It means matching the size of the commitment to the quality of the evidence.

Check yourself

- When is prediction useful?
- What makes a step affordable?
- What could Knittr test this week without building software or buying inventory?

Session 9: Rocket Pitch Presentations

Core idea

A Rocket Pitch communicates the customer problem, target market, proposed solution, and value proposition clearly and quickly. The goal is to make the logic easy to follow, not to list every feature.

A useful pitch order

1. Name the specific customer.
2. Show the problem with a concrete fact, behavior, or short story.
3. Present the proposed solution.
4. Explain the benefit and why it is meaningfully different.
5. Give a reason to believe the team can deliver the promise.
6. End with the next action, test, or request.

Three value-proposition tests

- **Overt benefit:** Why should the customer care?
- **Dramatic difference:** Why choose this over current alternatives?
- **Real reason to believe:** Why should the audience trust the promise?

Team presentation practice

- Divide responsibility by idea, not by arbitrary sentence counts.
- Make handoffs clear so the pitch sounds like one argument.
- Rehearse for time and remove details that do not support the main claim.
- Use feedback to revise the logic, not only the delivery.

Knittr application

Kayden should not lead with AI or a long feature list. He should identify a researched customer, show the difficulty that person experiences when choosing a project and compatible supplies, and explain one focused benefit. AI belongs in the pitch only if customer evidence shows that it improves the benefit.

Check yourself

- Can you explain Knittr's customer, problem, solution, and benefit in four sentences?
- Which claim in the pitch still needs evidence?

3. Entrepreneurship study guides

Session 3: Problem Solving and Idea Generation

Idea versus opportunity

An idea is an early insight about a problem, an unsatisfying solution, or a possible use of technology. An opportunity connects a defined customer and meaningful unmet need with a solution that can be delivered and sustained.

A promising opportunity is:

- **Attractive:** customers care enough to act.
- **Durable:** the need and advantage can last.
- **Timely:** conditions make this a sensible moment.

- **Value-creating:** the offer produces a benefit the customer values.

Knittr is currently an idea. Spending in the crafting category does not prove that a specific segment has the pain Kayden assumes or will switch to his offer.

Problem identification

Start with what the customer is trying to accomplish, where the current process breaks down, and what workaround already exists. Do not begin with the founder's preferred product.

> *As a **[specific person in a context]**, I need a way to **[make progress or solve a pain]** without **[important obstacle or tradeoff]**.*

A possible Knittr statement, which still requires research, is: “As a newer knitter with limited free time, I need a reliable way to choose a project that matches my ability and buy compatible supplies without comparing scattered patterns, yarn requirements, and stores.”

Brainstorming rules

- Go for quantity.
- Stay focused on the topic.
- Be visual.
- Build on and combine other ideas.
- Have one conversation at a time.
- Defer judgment.
- Encourage wild ideas.

Strong brainstorming process

1. Write a customer-centered “How might we?” question.
2. Use a short creative warm-up.
3. Give everyone silent individual ideation time.
4. Share and cluster ideas without judging them.
5. Combine ideas and seek variety.
6. Only after generating many options, evaluate customer value, desirability, feasibility, viability, and possible tests.

Using AI for idea generation

AI can generate variations, combine interests, explore perspectives, and push beyond the first obvious answer. It cannot establish that an idea is true, desirable, or practical. Humans should supply context, verify facts, and use customers and experiments to judge the ideas.

Check yourself

- What exact evidence would turn Knittr from an idea toward an opportunity?
- Why should evaluation happen after idea generation?
- What should AI do, and what judgment must people retain?

Session 5: Empathy and Design Thinking

Human-centered design

Design thinking is an iterative, team-based process for creating value from the customer's perspective.

1. **Empathize:** Observe and interview people in the context of their lives.
2. **Define:** Turn the evidence into a customer-centered problem statement.
3. **Ideate:** Generate many possible responses.
4. **Prototype:** Make a promising idea testable at low cost.
5. **Test and iterate:** Watch users, learn, and revise.

The central shift is from “What product do I want to build?” to “What problem is the customer already experiencing?”

Observation and empathy

Observation shows what people actually do, including workarounds and details they may forget to mention. Empathy means understanding another person's circumstances, feelings, behaviors, and needs well enough to see the problem from that person's perspective. It is different from sympathy and from immediately trying to fix the situation.

For Knittr, Kayden could observe how people choose a project, compare yarn, seek help, abandon work, and react when supplies are unavailable.

Discovery interviews

- Interview people outside close friends and family.
- Begin broad, then ask for details.
- Use open “how,” “why,” and “tell me about the last time” questions.
- Ask for real stories and past behavior rather than future predictions.
- Listen more than you speak.
- Probe neutrally and remain willing to be wrong.
- Record specific behavior, frustration, workarounds, and short quotations.

Weak: “Would you use an AI crafting app?”

Strong: “Tell me about the last time you chose a new crafting project. What did you do from the first idea to buying the supplies?”

Knittr application

Kayden lacks empathy evidence because he does not knit and has not studied the experience of actual crafters. His family interview leads participants toward his solution. He should investigate the problem before pitching Knittr.

Check yourself

- How is empathy different from sympathy?
- Why is a story about last week stronger than a prediction about next year?
- Can you write three neutral follow-up questions?

Session 7: Value Proposition and Target Market

Customer and consumer

The customer is willing and able to pay. The consumer or user experiences the product. They may be the same person, but a venture must identify who decides, who pays, and who uses.

Segmentation and target market

Market segmentation divides a broad market into groups with shared needs, traits, interests, or behaviors. Segments may use demographics, geography, psychographics, behavior, or need. The target market is the specific group the venture chooses to serve first.

“Women who craft” is too broad. A more useful starting segment might be beginner and intermediate knitters who complete several projects per year, find patterns online, and struggle to match those patterns with suitable yarn. Research must still test whether that group is attractive.

Customer personas

A persona is a fictional representation of an ideal customer grounded in patterns from interviews, observation, polls, demographics, and behavior. It should explain relevant pains, goals, constraints, workarounds, buying criteria, and channels.

Kayden's “Beatrice” is weak because her cats and K-dramas come from assumptions. A memorable detail belongs in a persona only when it helps predict a real decision.

Value proposition

A value proposition explains why a specific customer chooses one offer over alternatives. It should:

- **Resonate:** address an important need or pain.
- **Differentiate:** offer a meaningful advantage.
- **Substantiate:** give a reason to believe the promise.

> *For **[target audience]**, who need **[pain solved or desire fulfilled]**, **[product]** is a **[category]** that **[compelling benefit]**, because **[reason to believe]**.*

Features describe what the product has. Benefits explain what the customer gains. Add “which means that…” after a feature until the statement reaches a result the customer values.

Business model introduction

A business model explains how the venture creates value, delivers it, and captures part of it as revenue. The nine Business Model Canvas blocks are customer segments, value proposition, channels, customer relationships, revenue streams, key resources, key activities, key partners, and cost structure.

Check yourself

- Who pays for Knittr, who decides, and who uses it?
- Why is Beatrice not yet a valid persona?
- Can you turn one Knittr feature into a customer benefit?

Session 8: Prototyping

Core idea

A prototype is an early representation of an idea built to answer a question. Its value comes from what the team learns, not from how finished it looks.

A useful early prototype is:

- Focused on an important assumption.
- Fast and inexpensive enough to change.
- Concrete enough for a customer to react or behave.
- Tested with members of the target segment.
- Revised based on evidence.

Prototype sequence

1. Name the riskiest assumption.
2. Decide what observable result would support or weaken it.
3. Build the smallest test that can produce that result.
4. Watch what customers do and ask neutral follow-up questions.
5. Record the evidence and change the next version.

Minimum viable product

An MVP is the smallest usable version that can test whether the venture creates value for customers. “Minimum” does not mean careless. The version must still be credible enough to test the intended assumption.

Knittr prototypes

- A paper or clickable project-selection flow.
- A manually created project recommendation and supply list.
- A concierge test in which Kayden performs the future service himself.
- A landing page that tests which benefit earns sign-ups.
- A small preorder or price test before purchasing inventory.

Building the full platform would test too many assumptions at once and make change expensive.

Check yourself

- What assumption does each prototype test?
- What customer behavior would count as evidence?
- How is a prototype different from a finished product?

Session 11: Opportunity Evaluation

Desirability, feasibility, and viability

Lens	Core question	Useful evidence	Knittr's current gap
Desirability	Do real people want or need this?	Stories, repeated pain, workarounds, prototype use, willingness to switch or pay	No valid customer evidence
Feasibility	Can this team create and deliver it?	Skills, technology, suppliers, partners, time, quality, and operations	No craft expertise, coding ability, or delivery system
Viability	Can the model sustain itself?	Price, costs, margins, frequency, acquisition, demand, and competition	No tested economics or revenue model

An opportunity must reach the intersection of all three. A desired service that loses money is not viable. A profitable-sounding product that the team cannot deliver is not feasible. A deliverable product that customers do not value is not desirable.

Demand, competition, and alternatives

Estimate demand with evidence from a defined segment, not the size of a broad category. Compare direct competitors with indirect alternatives and the customer's current workaround. For Knittr, alternatives include yarn stores, pattern sites, blogs, social media, Ravelry, Etsy, advice from friends, and doing nothing.

Resources, capabilities, and risk

Assess what the team knows, whom it knows, and what it controls. Name capability gaps rather than hiding them. Test the assumptions whose failure would most threaten the venture before making expensive commitments.

Financial, social, and environmental effects

Opportunity evaluation should include customer-acquisition costs, order economics, inventory risk, returns, supplier practices, packaging, labor, accessibility, privacy, and honest impact claims. A good business creates economic value while considering its effects on people and the planet.

Knittr application

Kayden should test desirability with real crafters, feasibility through manual delivery and knowledgeable partners, and viability through price and cost experiments. Positive comments alone do not satisfy all three lenses.

Check yourself

- Which evidence belongs under each lens?
- Why could growth make an unviable offer worse?
- What is Knittr's most dangerous untested assumption?

Session 12: Market Research

Research types

	Primary: collected for this decision	Secondary: collected previously by others
Qualitative: explores how and why	Interviews, focus groups, observation	Industry narratives, company materials, archived accounts
Quantitative: measures how many, how often, or how much	Surveys, experiments, transactions	Published surveys, financial reports, market reports

Begin with qualitative research when the team does not understand the problem well enough to form useful hypotheses. Use quantitative research later to test frequency, compare segments, or estimate demand.

Sampling

A useful sample includes people who represent the decision the team is studying. Convenience samples are easy to reach but often biased. A small qualitative sample can reveal themes; it cannot prove the size of a market.

Unbiased questions

- Ask one clear question at a time.
- Avoid wording that signals the preferred response.
- Ask about real behavior before opinions about a new idea.
- Use open questions for exploration and carefully designed closed questions for measurement.
- Include options that allow disagreement or uncertainty.

Focus groups

A focus group is a moderated discussion among potential customers that uses participant interaction to develop insight.

- Recruit about five to eight people from the target segment.
- Use a neutral moderator and an additional note-taker when possible.
- Prepare six to eight short, open questions.
- Move from easy and general questions toward the concept.
- Encourage participants to respond to one another.
- Prevent domination and invite quieter members without leading them.
- End with a question that asks what the team missed.

Kayden's family discussion is weak because he uses a convenience sample, pitches first, discourages criticism, and treats praise as confirmation.

Analyzing feedback

Look for repeated behavior, explanations, strong emotions, workarounds, contradictions, and disconfirming evidence. Separate what participants said from the team's interpretation. Turn themes into hypotheses for a later test.

The 4Ps and revenue drivers

- **Product:** the offer, benefit, and differentiation.
- **Price:** what the customer pays and why.
- **Place:** where and through which channel the offer is sold.
- **Promotion:** how the target customer becomes aware of it.

Revenue depends on the number and quality of customers, purchase frequency, the selling process or channel, and price.

Check yourself

- When should you use qualitative rather than quantitative research?
- What is wrong with “Don't you agree our app makes crafting easier?”
- Why can eight enthusiastic focus-group participants not prove market size?

4. Organizational Behavior study guides

Session 2: Introduction to Culture and Norms

Core idea

Organizational culture is the shared system of values, beliefs, assumptions, and norms that tells people how work is really done. Culture appears through repeated behavior, stories, rituals, language, rewards, status, and the actions leaders tolerate.

Formal rules versus informal norms

A rule is explicit and usually written. A norm is an informal expectation that develops through repeated interaction and reinforcement. When the two conflict, people often follow the behavior that the group actually rewards.

If a charter says meetings start at 6:00 but the team always waits for influential late members, the real norm is 6:15.

Visible and invisible culture

Visible culture includes schedules, dress, language, rituals, workspace, and stated policies. Invisible culture includes assumptions about status, conflict, effort, trust, risk, and who is allowed to influence decisions.

Positive and negative team norms

Useful norms make it easier to coordinate, speak honestly, meet standards, and learn. Harmful norms can normalize lateness, silence, domination, hidden work, or avoiding accountability.

Team charters

A useful charter turns aspirations into behavior. It should clarify purpose, roles, decision methods, meeting expectations, communication, conflict, accountability, and how the team will revise its own process.

Check yourself

- What behavior is the group actually rewarding?
- Which norm would you infer even if nothing were written?
- What action would change that norm over time?

Session 4: Emotional Intelligence

Four abilities

- **Self-awareness:** recognize your emotions, patterns, strengths, and limits.
- **Self-management:** regulate impulses and choose a useful response.
- **Social awareness:** notice other people's emotions, perspectives, and needs.
- **Relationship management:** use that understanding to communicate, influence, resolve conflict, and maintain working relationships.

Responding rather than reacting means creating a pause between an emotional trigger and an action. The emotion may be valid, but the first impulse may damage the team or misread the facts.

Leadership application

A leader who sees an incomplete draft, assumes laziness, and posts an angry accusation shows weak self-awareness and self-management. If the role and deadline were unclear, the case also contains a process problem. The leader should check the facts, repair the public harm, and clarify the owner, deliverable, standard, and deadline.

Trust model

> *Trust = Authenticity + Logic + Empathy*

- **Authenticity:** I believe you are genuine and consistent.
- **Logic:** I believe your reasoning and competence.
- **Empathy:** I believe you understand and care about my experience or interests.

A sincere and caring leader who recommends major spending without evidence may have authenticity and empathy but still lose trust through weak logic.

Check yourself

- Which EI ability is missing in the case?
- What was the trigger, reaction, and consequence?
- Which part of authenticity, logic, and empathy is weakest?

Session 6: Positive Teaming and Psychological Safety

Three outcomes of team effectiveness

1. **Performance:** The output meets the needs of customers or stakeholders.
2. **Learning and adaptability:** Members and the team become more capable.

3. **Member well-being and growth:** The work remains sustainable and worthwhile.

A team can earn a high grade and still be ineffective if two people do all the work, nobody learns, and members refuse to work together again.

Conditions that support effective teams

- The right mix and number of people.
- Trust, mutual respect, psychological safety, and constructive conflict.
- Clear roles, decisions, deadlines, facilitation, and next steps.
- Alignment with the larger system, including authority, resources, and stakeholder feedback.

Psychological safety

Psychological safety is a shared belief that the team is safe for interpersonal risk-taking. Members can ask questions, admit uncertainty, raise concerns, disagree, suggest unusual ideas, and discuss errors without expecting humiliation or exclusion.

It does not mean constant agreement, low standards, or freedom from accountability. A team can debate strongly while protecting each person's ability to speak.

Actions that build safety

- Leaders acknowledge their own fallibility.
- Ask directly for dissent and concerns.
- Respond to bad news with curiosity before evaluation.
- Give members roughly equal opportunities to contribute.
- Thank people for revealing errors.
- Separate criticism of an idea or behavior from an attack on the person.
- Follow up so speaking up produces visible value.

Failure versus mistake

A failure is an unwanted result from testing something genuinely uncertain. When the test is thoughtful, the result can create useful information. A mistake ignores known information, violates an established process, or repeats a known error.

Constructive conflict

Task conflict debates evidence, assumptions, and choices. Relationship or status conflict attacks people. Useful responses restate the shared goal, ask for evidence, distribute airtime, name emotional escalation, and agree on a decision process.

Process gains and losses

Teams gain from combined knowledge, motivation, error checking, role modeling, and a shared map of expertise. They lose value through social loafing, poor coordination, dominant speakers, fear, hidden information, overload, and premature consensus.

Team leadership levers

1. **Design:** Clarify the purpose, membership, roles, timing, authority, and resources.
2. **Launch:** Build shared understanding of goals, capabilities, strategy, leadership, and norms.
3. **Process management:** Monitor progress and intervene when the team needs to adjust.

A team may need a relaunch when membership, purpose, or working assumptions change substantially.

Check yourself

- Is the case a performance, learning, or well-being problem?
- Does speaking up carry a social penalty?
- Is the unwanted result a productive failure or a preventable mistake?
- Would the best intervention change team design, launch, or ongoing process?

Session 10: Diversity of Thought and Practice — DiSC

Core idea

DiSC is a shared language for behavioral and communication preferences. It is not a measure of intelligence, worth, competence, or fixed ability. Everyone can use all four styles, and people should not be reduced to a label.

Style	Common strengths	Possible challenge	Helpful communication
D — Dominance/Driver	Direct, fast, decisive, results-focused	May be impatient or overlook input	Lead with the result, options, and next action
I — Influencing/Expressive	Energetic, persuasive, social, idea-generating	May skip details or commit too quickly	Invite ideas, then confirm deadlines and details in writing
S — Steady/Supporter	Calm, patient, dependable, cooperative	May avoid conflict or need time with change	Explain changes, be supportive, and allow time to respond
C — Conscientious/Analytical	Accurate, logical, careful, quality-focused	May overanalyze or become stuck in detail	Bring evidence, structure, expectations, and thinking time

Flexing styles

The goal is to adapt communication to help the team work. A D can pause and invite input. An I can document commitments. An S can raise disagreement earlier. A C can identify the minimum evidence needed for a timely decision.

When a D wants speed and a C wants more data, the team can set a decision deadline and agree on the minimum evidence needed for a reversible test. This respects both preferences without declaring one style correct.

Diversity of thought

Different expertise, networks, backgrounds, opinions, personalities, and experiences can increase creativity and reduce groupthink. Those differences create value only when the team has norms that allow information to surface and influence the work.

Avoiding stereotypes

Use a profile as a prompt for conversation, not as permission to predict everything about a teammate. The individual remains the best judge of whether the description fits.

Check yourself

- Can you adapt the same message for D, I, S, and C preferences?
- Are you describing behavior or judging the person?
- How could two styles combine their strengths?

Session 13: Inclusion and Identity

Personal and social identity

Personal identity includes characteristics and experiences that shape how a person understands themselves. Social identity connects a person with groups and categories that may influence belonging, status, opportunity, and how others respond to them.

Some differences are visible; others are invisible or context-dependent. A team should not assume that it knows which identities matter to another person or how that person experiences them.

Identity mapping

An identity map helps people reflect on the identities they notice often, those others notice, and those that shape access or expectations. Its purpose is awareness and discussion, not forcing disclosure or turning a person into a category.

Diversity, inclusion, and belonging

- **Diversity:** Who is present and what differences exist?
- **Inclusion:** Whose voice, information, and perspective can influence the work?

- **Belonging:** Do members feel accepted as legitimate parts of the group?

A team may be diverse without being inclusive. Asking a new member for ideas and then repeatedly ignoring them gives the appearance of participation without real influence.

Bias and assumptions

Bias can affect whose ideas receive credit, who gets interrupted, which behavior is considered professional, and who receives high-visibility work. Teams should examine patterns in decisions and outcomes rather than relying only on good intentions.

Faultlines and subgroups

Faultlines divide a team into stable subgroups, such as veteran and new members. Information may remain inside each group, weakening shared ownership and collective intelligence. Cross-subgroup tasks, shared goals, transparent decisions, and a wider team identity can reduce the division.

Inclusive leadership and decisions

- Distribute airtime and prevent repeated interruption.
- Ask for views before senior members anchor the discussion.
- Use clear decision criteria.
- Explain how input affected the final choice.
- Rotate meaningful responsibilities and visibility.
- Make it safe to question assumptions.
- Avoid requiring people to disclose identities or represent an entire group.

Check yourself

- Is the team diverse, inclusive, and supportive of belonging? These are separate questions.
- Whose information is missing from the decision?
- What observable change would give a less powerful member real influence?

5. Knittr cross-reference by subject

Subject	Evidence from Knittr	Best response
ET&A	Kayden wants investors, a full site, and a warehouse before testing	Run a small manual service with an acceptable loss
Idea versus opportunity	Category spending becomes proof of a business	Validate a defined customer and unmet need
Empathy and design thinking	Kayden does not knit or observe crafters	Observe and interview actual target customers
Target market and persona	“Women who craft” is broad; Beatrice comes from TikTok	Choose a narrow segment and build the persona from patterns in evidence
Value proposition	The pitch emphasizes AI, products, and a robot friend	State one customer, pain, benefit, difference, and reason to believe
Prototyping	Kayden considers building the complete platform	Test a paper flow or manual recommendation first
Opportunity evaluation	Skills, suppliers, price, costs, demand, and margins are untested	Test desirability, feasibility, and viability separately
Market research	Family participants, leading questions, rejected criticism	Recruit target participants and use neutral, behavior-based questions
Rocket Pitch	Features appear before a validated customer problem	Lead with the customer and evidence of the problem

6. One-page rapid recall

Joint

- ET&A matches the logic to uncertainty.
- Prediction plans when the path is knowable; CreAction learns through affordable steps.

- Rocket Pitch: customer, problem, solution, benefit, difference, proof, next step.

Entrepreneurship

- Idea is a possibility; opportunity connects a real need with a workable way to create and capture value.
- Design thinking: empathize, define, ideate, prototype, test, and iterate.
- Discovery questions use real past behavior and avoid leading the participant.
- Customer pays; consumer uses; the target segment is chosen and specific.
- A persona comes from repeated evidence, not decorative assumptions.
- Value proposition: resonate, differentiate, and substantiate.
- Prototype the riskiest assumption with the least expensive credible test.
- Opportunity = desirability + feasibility + viability.
- Qualitative research explores how and why; quantitative research measures frequency or amount.
- A focus group uses participant interaction and produces exploratory, not conclusive, evidence.

Organizational Behavior

- Culture is shown by repeated behavior; norms can overpower formal rules.
- EI = self-awareness + self-management + social awareness + relationship management.
- Trust = authenticity + logic + empathy.
- Team effectiveness = performance + learning/adaptability + member well-being/growth.
- Psychological safety allows interpersonal risk while maintaining accountability.
- Failure explores uncertainty; a mistake ignores known information.
- Task conflict can improve decisions; personal conflict damages the team.
- DiSC describes preferences and helps people flex communication.
- Diversity asks who is present; inclusion asks who has influence; belonging asks who feels accepted.
- Faultlines trap information inside subgroups; shared work and transparent decisions reconnect the team.

7. Final self-test by subject

1. **Session 1:** What is the smallest affordable step Knittr could take this week?
2. **Session 2:** What norm can you infer when behavior conflicts with the written rule?
3. **Session 3:** What evidence separates an opportunity from an exciting idea?
4. **Session 4:** Which EI ability is missing when a leader reacts before checking the facts?
5. **Session 5:** Write three neutral questions about the last time a customer experienced the problem.
6. **Session 6:** How is psychological safety different from being agreeable or lowering standards?
7. **Session 7:** Who is the customer, consumer, and first target segment?
8. **Session 8:** Which risky assumption does the prototype test, and what behavior will count as evidence?
9. **Session 9:** Can you explain the customer, problem, solution, benefit, and proof in under one minute?
10. **Session 10:** How would you adapt one message for D, I, S, and C preferences?
11. **Session 11:** What separate evidence supports desirability, feasibility, and viability?
12. **Session 12:** Why can a small focus group reveal a theme but not prove market size?
13. **Session 13:** What would turn symbolic participation into real inclusion?
14. Can you write one complete C-E-A-R paragraph in under five minutes?

8. Source basis

This guide reorganizes the existing FME 1000 master study guide around the 13 subjects supplied for the Fall 2026 midterm. The underlying material comes from the course study guide, class slides, assigned readings, activities, the Knittr case, and Sean's discovery-interview work.

This is a study aid. When using any part outside personal studying, follow the course's rules on permitted and disclosed AI use.